IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 68/230-232/ND/2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

GLADSTONE MERCHANTS PRIVATE LIMITED
CIN: U51109DL1994PTC309247
REGISTERED OFFICE AT:
Shop No. F-19,
Property No. IX/3738, Gali No. 4,
Gouri Shankar Market, Dharampura,
Gandhi Nagar, New Delhi- 110031, India

..... Transferor Company

AND

VEEPEE INTERNATIONAL PRIVATE LIMITED
CIN: U18101DL2000PTC105065
REGISTERED OFFICE AT:
725/1, first floor,
Jheel Khurenja, Near Jheel Sabzi Mandi,
New Delhi- 110051, India

.....Transferee Company

VERSUS

THE REGISTRAR OF COMPANIES,
NCT OF DELHI AND HARYANA,
4th Floor, IFCI Tower, 61,
Nehru Place, New delhi-110019

UNION OF INDIA, MINISTRY OF FINANCE,
DEPARTMENT OF REVENUE,
THROUGH DEPARTMENT OF INCOME TAX,
C/0 PRINCIPAL CHIEF COMMISSIONER OF INCOME TAX
C.R. Building, I.P. Estate-110002, New Delhi

.....Respondents

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ORDER DELIVERED ON: 02.09.2022

CORAM:

SHRI. P.S.N. PARSAD, HON'BLE MEMBER (JUDICIAL)

SHRI. RAHUL BAHTNAGAR, HON'BLE MEMBER (TECHNICAL)

For Applicants: PCS S.S. Bhati, PCS Rakesh Kumar and Advocate Shobhan Mahanti

For the IT Dept.: Mr. Ruchir Bhatia, Sr. Standing Counsel along with Mr. Shlok Chandra, Jr. Standing Counsel and Ms. Mansie Jain, Advocate

ORDER

PER: MR. P.S.N. PRASAD, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:

a. Dispense with the requirement of convening meetings of Equity Shareholders of the Transferor Company for the purpose of considering the Scheme of Arrangement in the nature of Merger;

b. Dispense with the requirement of convening meetings of Equity Shareholders of the Transferee Company for the purpose of considering the Scheme of Arrangement in the nature of Merger,

c. Dispense with the requirement of convening meetings of the Un-Secured Creditors of the Transferee Company for the purpose of considering the Scheme of Arrangement in the nature of Merger.

d. Publication of the citation for the meetings of the Equity shareholders of Transferor Company may be dispensed with.

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e. Publication of the citation for the meetings of the Equity shareholders, Un-Secured Creditors of Transferee Company may be dispensed with.

f Transferor Company and the Transferee Company may be permitted to file the Second motion application for sanctioning the Scheme of Arrangement in the nature of Merger within seven days from receiving certified True Copy of the First Motion of Hon'ble NCLT, New Delhi.

g. Allow the present Application of Merger.

h. Direct service of notice of the Present Application on (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, New Delhi; (c) the Official Liquidator, New Delhi; and (d) the Income Tax Department; and

i. Exempt the Transferor Company and Transferee Company from filing Original/ Certified/ Legible Copies of the Annexure to the Application and allow filing of photocopies and taking them on record as it is and exempt compliance with Rule 20 to 24 of the National Company Law Tribunal Rules, 2016.

j. Such further order or orders be made or the directions be given affording necessary relief to the applicant as in the premises of Hon'ble Tribunal may deem fit and proper.

2. That affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Vinit Gupta authorised by Board Resolutions dated 24.03.2022 of the two Companies.

3. That vide affidavits dated 07.05.2022, it is submitted that no investigation or proceeding is pending against any of the Applicant Companies and no reduction of share capital shall be done by the Company and also, none of the employees presently employed in the Company will be retrenched from the company and the business of the Company is textiles, fabrications, Merchandise, leather garments and all related items in leather goods etc. which do not fall within the

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jurisdiction of any specific regulator and also, debt owned by the Company will not be restricted.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013. The appointed date as provided in the Scheme of amalgamation and confirmed by this Tribunal shall be **01.04.2022.**

5. That in relation to the Transferor Company, it has been represented that the company has 4 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferor Company has no Secured and Unsecured Creditors. The certification of the statutory auditors of the Transferor Company to this effect has been place on record. In relation to the shareholders, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

6. That in relation to the Transferee Company, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferee Company has 5 Unsecured Creditors and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferee Company has no Secured Creditors. The certification of the statutory auditors of the Transferee Company to this effect has been place on record. In relation to the shareholders and unsecured creditors, the Transferee Company seeks dispensation from convening

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and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

7. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

8. That the Transferor Company – GLADSTONE MERCHANTS PRIVATE LIMITED was incorporated on 20.07.1994 in the state of Delhi under the provisions of Companies Act, 1956 and administered under the Companies Act, 2013. The authorised share capital of the Company is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 85,74,800/- divided into 8,57,480 equity shares of Rs. 10/- each fully paid up.

9. That the Transferee Company – VEEPEE INTERNATIONAL PRIVATE LIMITED was incorporated on 06.04.2000 in the state of Delhi under the provisions of Companies Act, 1956 and administered under the Companies Act, 2013. The authorised share capital of the Company is Rs. 2,00,00,000/- divided into 20,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 1,90,05,000/- divided into 19,00,500 equity shares of Rs. 10/- each fully paid up.

10. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 24.03.2022 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed have been placed on record.

11. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021 and

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Provisional Financial Statement for the period ended 31st December, 2021.

12. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

13. Valuation Report containing the share swap ration dated 22.03.2022 has also been placed on record.

14. In view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditors or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferor Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since there is no Unsecured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

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B. In relation to the Transferee Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditor have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

15. Accordingly, in terms of the above order, CA (CAA) 68 (ND) of 2022 is allowed. The Second motion joint application may be filed within the prescribed time in terms of the provisions of the Companies Act, 2013.

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(RAHUL BHATNAGAR)
Member (T)

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(P.S.N. PRASAD)
Member (J)